

23LBCV02237 23LBCV02237

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Case Number: 23LBCV02237 Hearing Date: August 6, 2026 Dept: S27

1. Background

Facts

Plaintiff, Hector Jalomo filed this action against Defendants, Muldoon's Saloon, Cocktails, LLC, Glenn Vaughn, and Joseph Annigoni for damages arising out of an altercation that occurred in the entity defendant's bar.

2. Motion

for Summary Judgment

a. Allegations

of the Complaint

The altercation occurred at Muldoon's Saloon, which is entirely owned by Cocktails, LLC. Cocktails is an LLC with a single member – Joseph Annigoni. Plaintiff sues Annigoni for premises liability, alleging the premises were in a dangerous condition due to Defendants' negligent failure to have security guards and/or to ensure their employees intervened when it was apparent the altercation was about to occur.

b.

Burdens

on Summary Judgment

Summary judgment is proper "if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of

law.” (Code Civ. Proc. §437c(c).) Where a defendant seeks summary judgment or adjudication, he must show that either “one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to that cause of action.”

(Id. at §437c(o)(2).) A defendant may satisfy this burden by showing that the claim “cannot be established” because of the lack of evidence on some essential element of the claim. (Union Bank v. Superior Court (1995) 31 Cal.App.4th 574, 590.) Once the defendant meets this burden, the burden shifts to the plaintiff to show that a “triable issue of one or more material facts exists as to that cause of action or defense thereto.” (Ibid.)

The moving party bears the initial

burden of production to make a prima facie showing that there are no triable issues of material fact. (Aguilar v.

Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.) A defendant moving for summary judgment must

show either (1) that one or more elements of the cause of action cannot be

established or (2) that there is a complete defense to that cause of action. (Id. at §437c(p).) A defendant may discharge this burden by

furnishing either (1) affirmative evidence of the required facts or (2)

discovery responses conceding that the plaintiff lacks evidence to establish an

essential element of the plaintiff’s case. If a defendant chooses the latter

option he or she must present evidence “and not simply point out that plaintiff

does not possess and cannot reasonably obtain needed evidence....” Aguilar,

supra, 25 Cal.4th at 865-66,

[A] defendant may simply show the

plaintiff cannot establish an essential element of the cause of action “by

showing that the plaintiff does not possess, and cannot reasonably obtain,

needed evidence.” (Id. at p. 854.) Thus,

rather than affirmatively disproving or negating an element (e.g., causation),

a defendant moving for summary judgment has the option of presenting evidence

reflecting the plaintiff does not possess evidence to prove that element. “The

defendant may, but need not, present evidence that conclusively negates an

element of the plaintiff’s cause of action. The defendant may also present

evidence that the plaintiff does not possess, and cannot reasonably obtain,

needed evidence—as through admissions by the plaintiff following extensive discovery

to the effect that he has discovered nothing” to support an essential element

of his case. (Aguilar, supra, at p. 855.) Under the latter approach, a

defendant’s initial evidentiary showing may “consist of the deposition

testimony of the plaintiff's witnesses, the plaintiff's factually devoid discovery responses, or admissions by the plaintiff in deposition or in response to requests for admission that he or she has not discovered anything that supports an essential element of the cause of action." (Lona v. Citibank, N.A., supra, 202 Cal.App.4th at p. 110.)

In other words, a defendant may show the plaintiff does not possess evidence to support an element of the cause of action by means of presenting the plaintiff's factually devoid discovery responses from which an absence of evidence may be reasonably inferred. (Scheidig v. Dinwiddie Construction Co. (1999) 69 Cal.App.4th 64, 83.)

Thus, a moving defendant has two means by which to shift the burden of proof under the summary judgment statute: "The defendant may rely upon factually insufficient discovery responses by the plaintiff to show that the plaintiff cannot establish an essential element of the cause of action sued upon. [Citation.] [Or a]lternatively, the defendant may utilize the tried and true technique of negating ('disproving') an essential element of the plaintiff's cause of action." (Brantly v. Pisaro (1996) 42 Cal.App.4th 1591, 1598.) Leyva v. Garcia (2018) 20 Cal.App.5th 1095, 1103.

Until the moving defendant has discharged its burden of proof, the opposing plaintiff has no burden to come forward with any evidence. Once the moving defendant has discharged its burden as to a particular cause of action, however, the plaintiff may defeat the motion by producing evidence showing that a triable issue of one or more material facts exists as to that cause of action. (Id. at §437c(p)(2).) On a motion for summary judgment, the moving party's supporting documents are strictly construed and those of his opponent liberally construed, and doubts as to the propriety of summary judgment should be resolved against granting the motion. (D'Amico v. Board of Medical Examiners (1974) 11 Cal.3d 1, 21.)

c. Issues

Presented on Motion

The parties agree that Annigoni can be held liable for Plaintiff's injuries if one of two circumstances is present. First, he is liable if he personally participated in the tortious activity that gives rise to the complaint. Second, he is liable if he is Cocktails, LLC's alter ego.

d. Evidentiary

Objections

Plaintiff filed an objection to the entirety of the Annigoni Declaration.

The objection is overruled.

e. Personal

Participation

Plaintiff contends Annigoni personally participated in the tortious conduct because he was the sole person responsible for making the decisions that led to the existence of the dangerous condition – choosing not to hire security guards, choosing not to adequately train his employees, and choosing not to have an insurance policy in place that would allow Cocktails to pay for Plaintiff's injuries.

Annigoni, in his moving papers, merely concludes that he did not participate in the tortious conduct and is therefore not liable under this theory. The Court notes that Annigoni's position is supported by the allegations of the complaint itself, and therefore Annigoni meets his moving burden in this regard.

In opposition and reply, the parties address the seminal case of *Frances T. v. Village Green Owners Assn* (1986) 42 Cal.3d 490. Plaintiff's reliance on *Frances T.*, however, is misplaced. While *Frances T.* recognized that corporate directors may be liable for nonfeasance under limited circumstances, such liability requires (1) an independent duty of care owed directly by the individual to the plaintiff, and (2) specific knowledge and direct participation in creating or increasing the specific hazard. *Id.* at 506. General managerial omissions—such as corporate staffing or policy decisions regarding security—constitute nonfeasance owed solely to the entity, not a personal breach of duty to individual business invitees. Plaintiff therefore failed to raise triable issues of material fact in this regard.

f. Alter

Ego

i. Law

Governing Alter Ego Liability

Under California law, the corporate/LLC form will be disregarded and an individual member held liable for the entity's obligations only under narrowly defined circumstances. To invoke the alter ego doctrine, two conditions must be met:

Unity

of Interest and Ownership: There must be such unity of interest and ownership that the separate personalities of the corporation/LLC and the individual no longer exist.

Inequitable

Result: It must be demonstrated that an inequitable result will follow—that adherence to the fiction of separate corporate existence would sanction a fraud or promote injustice.

Sonora Diamond Corp. v. Superior

Court (2000) 83 Cal.App.4th 523, 538–539; Associated Vendors, Inc. v. Oakland Meat Co. (1962) 210 Cal.App.2d 825, 837–838.

ii. Moving Burden

Defendant supports his motion with his own declaration, wherein he avers that Cocktails was formed in 2018, and it retains all business records that it creates contemporaneously with decisions and acts taken. He declares he is only on the lease as a guarantor of Cocktails, but is not personally a lessor. He declares he does not operate Muldoon's, which is operated by Cocktails. He declares Cocktails has all relevant licenses, and has its own bank accounts, which are separate from his personal accounts. He declares he keeps separate book and records from those of the LLC, and there is no comingling of funds.

Defendant's declaration is sufficient to meet the moving burden on summary judgment.

ii. Shifted Burden

Plaintiff opposes summary judgment
on the alter ego theory by relying on three facts:

The
individual Defendant is the sole member/owner of the LLC.

The
LLC holds minimal assets (approximately \$5,000 in bank balance).

The
individual Defendant failed to obtain liability insurance for the business
(and breached a lease covenant to do so).

Cocktails
was formed through Legal Zoom without an attorney, and its sole purpose
was to operate Muldoon's; Cocktails is not mentioned on receipts or menus,
it has no telephone number, email address, or home address separate from
Annigoni's, and Annigoni sometimes signed corporate documents in his own
name.

Taking these facts as true, they
fail as a matter of law to create a triable issue of material fact under either
prong of the alter ego doctrine.

First, sole ownership of an LLC is
explicitly permitted by statute and does not, standing alone, establish a unity
of interest. Cal. Corp. Code, § 17701.01 et seq. Under California Corporations Code section
17703.04(b), the failure to hold meetings or observe organizational formalities
is explicitly excluded as a factor in establishing alter ego liability for a
limited liability company. Thus, the mere fact that the individual Defendant
operated as the single member and sole manager of the LLC does not satisfy the
"unity of interest" prong.

Plaintiff argues that operating an
uninsured bar with \$5,000 in assets creates an "inequitable result"
because it leaves Plaintiff with an uncollectible claim. However, California
courts have consistently held that a plaintiff's difficulty or inability to
collect on an unsatisfied judgment against an insolvent entity is insufficient
as a matter of law to satisfy the second prong of the alter ego test. In *Sonora Diamond*, supra, at 539, the Court

held:

The alter ego doctrine does not guard every dissatisfied creditor against an insolvent debtor... The difficulty in enforcing a judgment or collecting a debt does not satisfy this standard. The alter ego doctrine is applied only where to do so will prevent an inequitable result, not to satisfy an unsatisfied judgment.

The "inequity" required to pierce the corporate veil must flow from the individual's bad-faith abuse or manipulation of the corporate form—such as commingling personal and business funds, siphoning entity assets into personal accounts to avoid potential creditors, or using the corporate shell as a scheme to commit fraud. While undercapitalization is a factor considered under Associated Vendors, *supra*, undercapitalization or lack of insurance must be coupled with bad-faith financial conduct or commingling. Operating a business without insurance or with thin cash reserves constitutes poor management or insolvency, but it does not, standing alone, demonstrate that the individual defendant used the LLC structure as a bad-faith shield to perpetrate a fraud or injustice.

Finally, the individual defendant's failure to maintain insurance in breach of a lease covenant is a contractual breach owed to the lessor, not to Plaintiff. It does not convert an ordinary corporate failure into an independent equity-piercing event for a third-party tort claimant.

Plaintiff further contends that alter ego is established because the LLC was formed via LegalZoom without counsel, lacked a separate telephone or email address, failed to display the entity name on certain internal documents, and because the individual Defendant signed contracts without noting his representative capacity.

These facts, individually and collectively, fail to raise a triable issue of material fact.

First, the use of an online formation service rather than legal counsel is legally irrelevant to entity validity under Corporations Code section 17702.01. Second, under Corporations Code section 17703.04(b), the failure to observe internal organizational formalities is explicitly excluded as an alter ego factor for limited liability

companies. Third, while signing a contract in an individual capacity may expose an agent to personal contractual liability on that specific instrument, it does not pierce the corporate shell to impose personal liability for unrelated third-party torts.

Finally, factors such as shared contact information or failure to hold out the corporate name carry weight primarily in contract actions where a plaintiff was fraudulently induced into dealing with an undisclosed shell. In a premises liability action, Plaintiff cannot show that these informalities caused any inequity or abuse of the corporate form relative to Plaintiff's injury. Without evidence of commingling, bad-faith asset draining, or fraud, Plaintiff's showing consists merely of typical small-business informalities, which are insufficient to defeat summary judgment on alter ego.

Because Plaintiff offers no evidence of commingling, asset-stripping, bad faith, or treatment of LLC accounts as personal funds, Plaintiff has failed to raise a triable issue of material fact as to either prong of the alter ego doctrine.

g. Conclusion

Defendant met his moving burden to establish he did not personally participate in the acts that give rise to Plaintiff's claims, and that he was not the alter ego of Cocktails. Plaintiff failed to raise a triable issue of material fact in either regard, and the motion for summary judgment is granted.

Defendant is ordered to give notice.